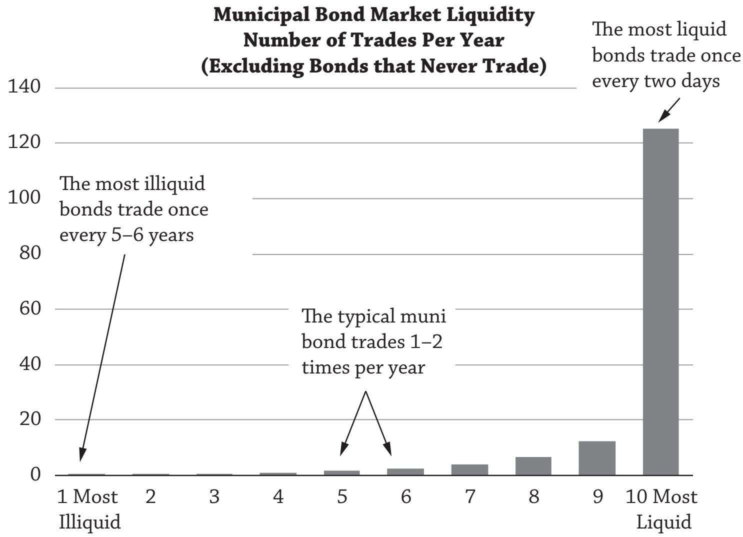

Figure 12.2

1933 Securities Act and the 1934 Exchange Act) specifically exempts all municipal securities from their provisions except for the antifraud statutes. The SEC does what it can, but it is greatly hamstrung.[11] In the words of SEC Commissioner Elisse Walter, muni investors have often been treated as "second class citizens."[12] The muni market has poor information and terrible liquidity partly because the muni market is segmented by states. Congress cannot simply mandate better disclosure, set up a muni market regulator, or dictate what types of bonds states can issue—these are state matters, and the U.S. constitution, along with a vast body of court rulings, limit what the federal government can do.

Richard Green and I, through The Hamilton Project, Brookings Institution, have proposed that municipalities could eliminate a great many inefficiencies by acting collectively.[13] Municipalities could band together and thereby obtain better access to better financial advice, have more resources, and help each other in a way that they cannot do on their own. The potential benefits are enormous. From equation (12.7), if munis had the same liquidity as Treasuries, then municipalities would be borrowing at rates 1% lower than currently. This is a saving to taxpayers of more than $30 billion per year.

[11] The SEC itself calls for legislative change to better police these markets. See the SEC "Report on the Municipal Securities Market," July 31, 2012. The report makes for some very sad reading of cases where the SEC has been able to take action.

[12] "Regulation of the Municipal Securities Market: Investors are Not Second Class Citizens," Speech by SEC Commissioner Elisse B. Walter, Oct. 28, 2009.

[13] See Ang and Green (2011). This also contains a good summary of muni market inefficiencies and is a reference for the numbers reported in this section.